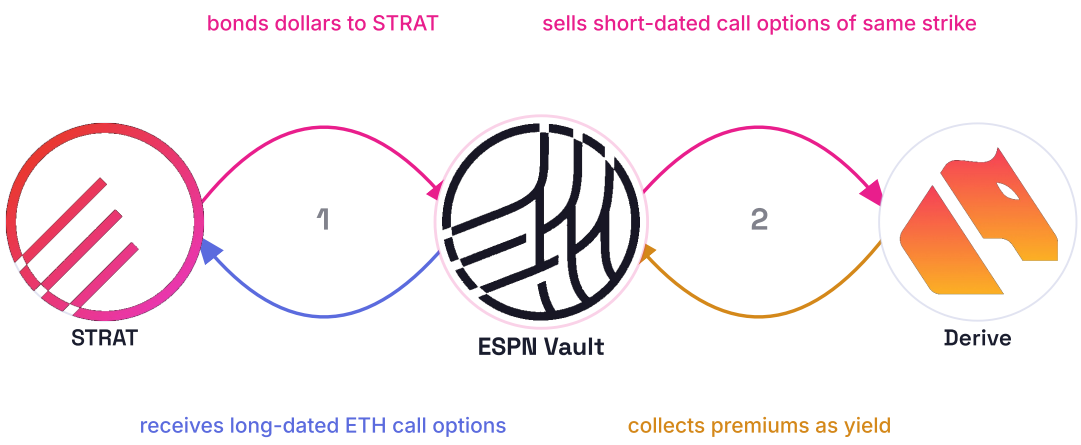
INSTRUMENT

ESPN Perpetual Note Vault

ESPN is a yield primitive that transforms Ethereum's natural volatility into an on-chain yield stream. EthStrategy's Perpetual Note earns yield by **selling covered options on Derive**, underpinned by **long-dated call options** on treasury ETH provided by STRAT holders in exchange for leverage exposure.

Capital is split across two strategies: a portion into Lindy, deterministically liquid strategies to cover redemptions, and the remainder into the STRAT convertible note. The vault is designed to wind down to zero with **no bad debt**.

CAPITAL FLOW HOW ESPN GENERATES YIELD



Calendar spread premium returned to holders via weekly NAV accrual **~18% APY**

THE HEDGE

Completely Delta Neutral

The long-dated call received from EthStrategy and the short-dated call sold on Derive share the **same strike price**. A long call minus a short call of the same strike cancels all directional ETH exposure the vault is **delta zero** regardless of where ETH trades, and simply farms the time-value premium between the two legs.

The long-dated call from EthStrategy and the short-dated call on Derive share the **same strike**. Long call minus short call of identical strike = **zero delta**. Whatever ETH does, the position is flat the only P&L is the **time-value premium collected from the short-dated leg**, returned to ESPN holders as yield.

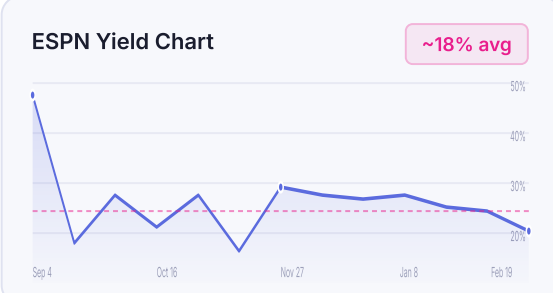
RISK MATRIX

RISK	DESCRIPTION	SEVERITY
Insolvency Risk	If the protocol is insolvent, EthStrategy may not be able to underwrite ESPN's debt.	MEDIUM
Price Risk	If ETH declines over long periods, ESPN's option strategy may become unprofitable.	MEDIUM
Volatility Risk	If ETH's volatility declines, options may be less valuable and reduce ESPN yield.	LOW–MED

LIVE METRICS

18.01% APR	$3.78M TVL
11,778 ETH UNDERWRITING	97 HOLDERS

YIELD PERFORMANCE



LIQUIDITY PROFILE

Stochastic Liquidity

ESPN is **stochastically liquid** available liquidity depends on the **strike prices of active short calls** on Derive. Capital is locked for the duration of each option cycle, creating variable liquidity windows rather than fixed lock periods.

Analogous to a lending market: **as liquidity decreases, yield increases** attracting capital and naturally rebalancing utilisation.

High Liquidity · Lower Yield — Low Liquidity · Higher Yield

There will be a feature coming that will allow deployers to **instantly redeem** their dollars but will have to take a haircut to do so.

YIELD BENCHMARKS

stETH (Lido)	~2.5%
Aave USDC	~1.75%
US 10Y Treasury	~4.2%
Ethena sUSDe	~5.5%
ESPN Yield Vault	**~18%**

SECURITY AUDITS

- Nethermind — COMPLETED
- Bailsec — IN PROGRESS
- SigIntZero — COMPLETED

Weekly to monthly option cycles. Liquidity windows open at each roll, creating natural redemption opportunities aligned with cycle expiry.

TEAM

@napenjoyoor

SMART CONTRACTS & STRATEGY

OG energy markets quant structured vol trades to acquire cheap IV. Early operator at **Canva, Neara, Veyor, YoloEx** (collective billions). Founding team at **TempleDAO & Origami** built a delta-neutral liquid DAO that survived the bear with real yield.

@cloutedmind

GROWTH & PROTOCOL DESIGN

Corp. banking & IT background. Prev. founded a **native credit markets protocol**. Co-founded a **long-tail lending protocol**. Co-designed a **permissionless stablecoin** with any-collateral support.

@econdegen

QUANTITATIVE FINANCE & MECHANISM DESIGN

PhD Economics game theory & mechanism design. Prev. COO at Proptech raising **$50M**. Designed a DAI-analogue stablecoin with single-sided liquidity provision.

For qualified investors only. Does not constitute an offer to invest. DeFi protocols carry inherent smart contract and market risks. Past yield is not indicative of future returns.